

OBJECTIVE SERIES

ENTREPRENEURSHIP

50+ Objective

INTRODUCTION TO ENTREPRENEURSHIP AND STARTUP

1-2



SEMESTER 6



IDEA



STARTUP



GROWTH



SUCCESS



IMPACT



ER. JITESH SIR

B.Tech (Jadavpur University)

M.Tech (NIT Patna)

LEARN • UNDERSTAND • REVISE • SUCCEED

Entrepreneurship

& Start-ups

Multiple Choice Questions

1. Which of the following is NOT a characteristic of successful entrepreneurship?

(a) Creativity

(b) Persistence

(c) Risk-taking

 (d) Aversion to failure

2. Which of the following is NOT a common source of funding for startup?

(a) Venture capital

✓
(b) Bank loans

(c) Crowd funding

(d) Grants

3. What is the purpose of a business plan?

(a) To secure funding for a startup

(b) To outline the strategy & goals of a business

(c) To provide a roadmap for how to operate a business

 (d) All of Above

4. An entrepreneur who enters the market with a product or service based on new technology is called?

(a) Innovative



(b) Replicative



(c) Opportunity



(d) Drones



5. The planned pathway to convert a vision into reality is called?

(a) Strategy



(b) Stage-gating

(c) Tactics

(d) Finance

6. For startup success, the following must be a core competence?

(a) Innovation & creativity



(b) Managing banks

(c) Managing Gov. relations

(d) Managing public relation

7. Most Start-ups when established fall under the following industry classification?

(a) Mega

(b) MSME



(c) PLI

(d) Mainstream

8. What is bootstrapping in the context of startups?

(a) Starting a business in the technology sector

(b) Starting a business without any external funding

(c) Starting a business with external funding

(d) Starting a business by acquiring an existing one

9. What is the purpose of market research?

(a) To determine the size of the market for a product or service

(b) To identify potential competitors

(c) To understand consumer need and preferences

✓ (d) All of the above

10. What is a unique selling proposition (USP)?

(a) A statement that describes the benefits of a product or service

☒ (b) A statement that describes the unique features of a product or service

(c) A statement that describes the target market

(d) A statement that describes the business model of a startup

11. What is a lean startup?

(a) A startup focused on profitability from day one

(b) A startup that has a large team and extensive resources

(c) A startup that uses a minimum viable product to test assumptions and iterate quickly

(d) A startup that is backed by a large venture capital firm

12. What is a business model canvas?

(a) A tool for developing a business plan

✓ (b) A tool for mapping out the key components of a business model

(c) A tool for analyzing market trends and competitor behavior

(d) A tool for calculating financial projections for a startup

13. An individual who starts, creates and manages a new business can be called _____.

(a) A leader

(b) A manager

(c) A professional

(d) An entrepreneur

14. Why are small businesses important to a country's economy?

(a) They give an outlet for entrepreneurs

(b) They can provide specialist support to larger companies

(c) They can be innovators of new products

☒ (d) All the above

15. A business arrangement where one party allows another party to use a business name and sell its products or services is known as?

(a) A cooperative

☒ (b) A franchise

(c) An owner-manager business

(d) A limited company

16. Which of these statements best describes the context for entrepreneurship?

(a) Entrepreneurship takes place in small businesses

(b) Entrepreneurship takes place in large businesses

☒ (c) Entrepreneurship takes place in a wide variety of contexts

(d) Entrepreneurship does not take place in social enterprises

17. Entrepreneurs are motivated by _____.

(a) Money

(b) Personal values

(c) Pull influences

✓ (d) All the above

18. Which of the following is a recognized disadvantage of setting up as a start-up compared with other routes to market entry?

(a) Less satisfaction of the owners

(b) Less help from various agencies

(c) There are more funds required

~~(d) There is a high failure rate~~

19. Someone legally appointed to resolve the financial difficulties of an insolvent firm is called _____.

(a) An administrator



(b) A predator

(c) An auditor

(d) A turnaround consultant

20. Goods or services reach the market place through _____.

(a) Marketing channels



(b) Multilevel pyramids

(c) Monopolies

(d) Multiplication

21. To provide financial assistance to entrepreneurs the government has set up a number of _____.

(a) Financial advisors

(b) Financial intermediaries

(c) Industrial estates

✓ (d) Financial institutions

22. What is entrepreneurship?

☒ (a) A process of starting a business

(b) A process of buying a business

(c) A process of selling a business

(d) A process of running a business

23. What is a startup?

(a) A small business

☒ (b) A new business

(c) An old business

(d) A franchise business

24. What is a business plan?

~~(a)~~ A document that outlines a company's objectives and strategies

(b) A document that outlines a company's financial statements

(c) A document that outlines a company's employee policies

(d) A document that outlines a company's customer service policies

25. What is a pitch?

☒ (a) A presentation of a business idea

(b) A presentation of a company's financial statements

(c) A presentation of a company's employee policies

(d) A presentation of a company's customer service policies

26. What is a minimum viable product (MVP)?

(a) A product that has all the features and functions of the final product

(b) A product that has only the essential features and functions of the final product

(c) A product that has more features and functions than the final product

(d) A product that has no features or functions

27. What is a pivot?

✓ (a) A change in direction for a business ✓

(b) A change in the ownership of a business

(c) A change in the location of a business

(d) A change in the product of a business

28. What is a business model?

(a) A company's plan for making money

(b) A company's plan for hiring employees

(c) A company's plan for advertising

(d) A company's plan for customer service

29. What is bootstrapping?

☒ (a) Starting a business with little or no external funding

☐ (b) Starting a business with a lot of external funding

☐ (c) Starting a business with a bank loan

☐ (d) Starting a business with personal savings

30. What is an accelerator?

☒ (a) A program that helps startups grow and succeed

(b) A program that helps established businesses grow and succeed

(c) A program that provides funding to startups

(d) A program that provides office space to startups

31. What is a business incubator?

accelerator

(a) A program that provides mentorship and resources to help startups grow

(b) A program that provides funding to help startup grow ✗

(c) A program that provides office space and facilities to help startup grow ✓

(d) A program that provides legal services to help startup grow ✗

32. What is a lean startup?

(a) A startup that has a lot of funding

(b) A startup that has a lot of employees

 (c) A startup that focuses on creating a minimum viable product and getting customer feedback

(d) A startup that focuses on creating a fully-featured product before launching

33. What is a revenue model?

(a) A plan for how a company will
generate income

(b) A plan for how a company will
manage expenses

(c) A plan for how a company will
market its products or services

(d) A plan for how a company will
manage its employees

34. Which of the following is a common method of financing a startup?

(a) Venture capital



(b) Bank loans



(c) Crowdfunding



(d) All of the above



35. What is the process of raising money from a large number of people, typically via the internet, to fund a startup called?

(a) Angel investing

(b) Initial public offering (IPO)

 (c) Crowdfunding

(d) Debt financing

36. What is a term sheet in startup financing?

✓ (a) A document outlining the terms and conditions of a proposed investment

(b) A legal agreement protecting intellectual property

(c) A financial statement of a startup's assets and liabilities

(d) A marketing plan for attracting investors

37. What is the purpose of a non-disclosure agreement (NDA) in startup funding?

(a) To secure funding from venture capitalists

☒ (b) To protect confidential information and trade secrets

(c) To establish ownership of intellectual property

(d) To attract potential customers

38. What does the term bootstrapping mean in the context of startup financing?

(a) Acquiring funding through a large bank loan

(b) Raising capital through a series of private equity investments

☒ (c) Funding a startup using personal savings and revenue generated by the business

(d) Obtaining grants from government agencies for business development

39. What is the main advantage of obtaining venture capital financing for a startup?

(a) Reduced financial risk for the entrepreneur

✓ (b) Access to experienced investors and their networks

(c) Lower interest rates compared to traditional bank loans

(d) Guaranteed profitability for the startup

40. What is the purpose of filing for a patent in the startup ecosystem?

(a) To secure a loan from a bank

(b) To establish credibility with potential investors

✓ (c) To protect a novel invention or process from being copied

(d) To meet regulatory requirements for business registration

41. Which of the following is a common challenge faced by startups when seeking financing?

(a) Lack of track record

(b) High interest rates on loans

(c) Limited access to venture capital firms

☒ (d) All of the above

42. Which of the following is NOT a way to protect your startup idea?

(a) Non-disclosure agreement
(NDA) ✓

(b) Patent ✓

(c) Copyright ✓

(d) Trademark ✓

43. Which of the following is the best way to finance a startup?

(a) Personal savings

(b) Friends and family

✓ (c) Venture capital

(d) Government grants

44. Which of the following is the most important factor in the success of a startup?

(a) The idea

(b) The team



(c) The funding

(d) The market

45. Which of the following is a type of equity financing for startups in India?

(a) Angel investment

(b) Venture capital

(c) Crowdfunding

(d) All of the above

46. Which of the following is a government program that provides funding for startups in India?

☒ (a) Startup India Seed Fund Scheme

(b) SIDBI Fund of Funds

(c) Atal Innovation Mission

(d) All of the above

47. Which of the following is the best way to start your pitch to potential investors?

(a) By telling a story

(b) By listing the features of your product or service

✓ (c) By explaining the problem your product or service solves ✓

(d) By asking for money

48. Which of the following is NOT a type of exit strategy for entrepreneurs?

(a) Selling the business to a third party

(b) Going public (IPO)

(c) Liquidating the business

☒ (d) Hiring a management team to run the business

49. Which of the following is the most common exit strategy for entrepreneurs?

☒ (a) Selling the business to a third party

(b) Going public

(c) Liquidating the business

(d) Hiring a management team to run the business

50. What are some of the benefits of having an exit strategy?

(a) It can help the entrepreneur to maximize their profits

(b) It can help the entrepreneur to protect their assets

(c) It can help the entrepreneur to transition the business to a new owner smoothly

(d) All of the above

51. What are some of the risks of NOT having an exit strategy?

☒ (a) The entrepreneur may not be able to maximize their profits

(b) The entrepreneur may not be able to protect their assets

(c) The entrepreneur may not be able to transition the business to a new owner smoothly

(d) All of the above

52. Which of the following is NOT a type of succession strategy?

(a) Inheriting the business from a family member

(b) Hiring a new CEO

(c) Selling the business to a third party

(d) Liquidating the business

53. The best harvesting strategy for a particular business will depend on which of the following?

(a) The product or business's life cycle stage

(b) The company's financial situation

(c) The company's long-term goals

(d) All of the above

Thank You!

Best of Luck for Your Exam!

Entrepreneurship & Start-ups

Contact us
8797286737
8603276737